

MEMORANDUM OF UNDERSTANDING (MOU)

BETWEEN

POLY PACKAGING SERVICES ("PPS")

A company incorporated under the laws of Sri Lanka, having its registered office at No. 274 Canal Road, Wattala, Sri Lanka (hereinafter referred to as the "First Party" or "PPS")

AND

Eng. M. A. Anoj Thilina Perera ("GALAXY")

a Professional Member of the Computer Society of Sri Lanka, trading as Galaxy ERP, having its registered address at No. 60/1 Jusse Vaz Mawatha, Katuwapitiya, Negombo (hereinafter referred to as the 'Second Party' or 'Galaxy').

(Collectively referred to as the "Parties" and individually as a "Party")

1. BACKGROUND AND PURPOSE

WHEREAS, PPS is a leading entity in the Polythene Packaging industry in Sri Lanka, seeking to enhance its operational efficiency through robust digital technology solutions.

WHEREAS, Galaxy is a Software Suite based in Negombo, Sri Lanka, specializing in software development and digital solutions, and is **committing to develop a comprehensive fully customized suite of business operations software based on Polythene industry requirements.**

WHEREAS, PPS wishes to appoint Galaxy as its **Official Digital Technology Service Partner**, and Galaxy is willing to accept such appointment, to provide inhouse IT Services for an integrated business operations software solutions/suite.

WHEREAS, this Memorandum of Understanding (MOU) sets forth the framework for the collaboration between the Parties, specifically regarding the development, testing, and implementation of software modules, **with an understanding that separate definitive agreements will be signed for each implemented commercial software module by Galaxy ERP.**

NOW, THEREFORE, in consideration of the mutual covenants and agreements set forth herein, the Parties agree as follows:

2. APPOINTMENT AND SCOPE OF WORK

2.1 Appointment.

PPS hereby appoints Galaxy, and Galaxy, accepts the appointment, as PPS's exclusive **Digital Technology Service Partner (DTS)** for the duration specified in Clause 8.1.

2.2 Scope of Services.

Galaxy system shall provide any and all business operations software as and when requested by PPS. This includes, but is not limited to:

- Business Operations Software
- Enterprise Resource Planning (ERP) Systems
- Human Resource Management (HRM) Software
- Production Software Modules
- Custom Mobile Applications

2.3 Development Opportunity.

PPS agrees to provide Galaxy, with its software requirements, business process blueprints, and operational data (subject to confidentiality) to assist Galaxy, in designing and developing its purpose-built suite of business operations software for commercial use globally.

2.4 Customer Testimonials.

In consideration for the preferential pricing defined in Clause 3.2, PPS agrees to provide honest and fair customer testimonials regarding the software solutions and IT/Digital Services provided by Galaxy Software Suite.

3. FINANCIAL ARRANGEMENTS AND PRICING

3.1 No Advance Payment.

Galaxy shall commence work on requested fully customized software modules without the requirement of any advance payment from PPS.

3.2 Special Pricing.

All software modules and Mobile Apps developed and implemented by Galaxy for PPS shall be provided at a special rate, discounted to 30% to 50% of the prevailing software market price in Sri Lanka for comparable solutions.

3.3 Payment Milestones.

1. Final payment for any specific software module shall be invoiced and become due upon the earliest of the following events (the "Acceptance Date"): The Client's written sign-off of User Acceptance Testing (UAT) and Parallel Run;
2. The Client deploying the software module into a live business environment (GoLive) or otherwise using the software for its intended commercial purpose; or
3. [14/30] days after the vendor delivers the module to the Client for UAT, provided the Client has not reported any Material Defects in writing.

For the purposes of this clause, a "Material Defect" is defined as a critical error that prevents the core functionality of the software. Any minor defects, cosmetic issues, or non-critical bugs identified shall not delay final payment and will be resolved under the post-deployment Warranty or Support Agreement.

Furthermore, any requests by the Client for bug fixing, code refactoring, or revamps related to out-of-scope modules or previously accepted deliverables shall not affect, condition, or delay this final payment

3.4 Separate Definitive Agreements.

For each software module or Mobile App implemented and

accepted by PPS, a separate, distinct, annual renewable **Software Sales and Support Agreement (SSS)** shall be executed. This MOU governs the high-level relationship, while the separate agreements will detail specific service level agreements (SLAs), technical specifications, and support costs.

4. INTELLECTUAL PROPERTY RIGHTS

4.1 Ownership of Galaxy IP.

All core software codes, source codes, and proprietary algorithms developed by Galaxy under this MOU shall remain the intellectual property of Galaxy. PPS is granted a perpetual, nonexclusive, nontransferable license to use the software for its internal business operations, subject to the execution of the relevant **Software Sales and Support Agreement**.

4.2 PPS Data.

All data inputted by PPS into the software systems remains the sole and exclusive property of PPS.

5. CONFIDENTIALITY AND NONDISCLOSURE

This MOU serves as a **binding Non-Disclosure Agreement (NDA)** between the Parties.

5.1 Definition of Confidential Information.

"Confidential Information" includes all information disclosed by PPS to Galaxy, including but not limited to:

- Corporate Data and databases
- Business process blueprints and operational workflows
- Financial records and client lists
- Technical specifications and internal business strategies
- Employee information

5.2 Obligations of Confidentiality.

Galaxy agrees to hold the Confidential Information in strict confidence and not to disclose such information to any third party or competitor of PPS without the prior written consent of PPS.

5.3 Restriction on Public Disclosure.

Galaxy and its employees, agents, and subcontractors are strictly prohibited from publishing any of PPS's Confidential Information on public social media platforms, websites, or in public forums located in Negombo, Sri Lanka, or any other jurisdiction, for any reason whatsoever.

5.4 Authorized Representatives.

Exceptions to Clause 5.3 may only be made upon a prior written request and approval from the following authorized signatories of PPS:

Chief Executive Officer: Mr. Benny Jeyakumar

General Manager: Mr. T. A. Jeyaseelan

6. REPRESENTATIONS AND WARRANTIES

6.1 Authority.

Each Party represents and warrants that it has the full authority to enter into this MOU.

6.2 Compliance with Laws.

Galaxy agrees to comply with all applicable laws and regulations in Sri Lanka regarding data protection and privacy.

6.3 No Liability for Delays.

Given the research and development nature of the project, Galaxy shall not be held liable for delays in delivery, provided such delays are communicated to PPS in a timely manner and/or at the **Weekly Progress Review Meetings**.

7. FORCE MAJEURE

7.1 Definition.

Neither Party shall be liable for failure to perform its obligations under this MOU if such failure is a result of Acts of God (including fire, flood, earthquake, storm, hurricane, or other natural disasters), war, invasion, act of foreign enemies, hostilities (whether war declared or not), civil war, rebellion, revolution, insurrection, military or usurped power, or confiscation, or acts of government, state, or competent authority (including lockdowns or travel bans).

7.2 Notice.

If either Party is affected by a Force Majeure event, it shall notify the other Party as soon as reasonably practicable and make every effort to resume performance.

8. TERM AND TERMINATION

8.1 Term.

This MOU shall become effective on **July 1st, 2026**, and shall remain in force until **June 30th, 2030** (Five (5) continuous years).

8.2 Termination for Convenience.

Notwithstanding Clause 8.1, either Party may terminate this MOU at any time and for any reason by providing written notice to the other Party. Such termination shall take immediate effect, subject to the settlement of all outstanding payables and receivables.

8.3 Effect of Termination.

Upon termination:

- a. Galaxy shall be entitled to payment for any work delivered and completed(3.3), on a separate software sales and support agreement, up to the date of termination (subject to there will be "No Advance Payment" clause effected, until expiry of this Memorandum of Understanding).
- b. Galaxy shall cease the use of PPS's Confidential Information.
- c. Neither Party shall have any further financial obligations to the other, nor shall they hold any claims for compensation or damages against each other as a result of such termination of this agreement, except for claims arising from a breach of confidentiality or intentional misconduct.

9. DISPUTE RESOLUTION AND JURISDICTION

9.1 Governing Law.

This MOU shall be governed by and construed in accordance with the laws of the Democratic Socialist Republic of Sri Lanka.

9.2 Arbitration.

Any dispute arising out of or in connection with this MOU, including any question regarding its existence, validity, or termination, shall be referred to and finally resolved by arbitration administered by the Institute for the Development of Commercial Law and Practice (ICLP) in Sri Lanka, in accordance with the Arbitration Act No. 11 of 1995.

9.3 Venue.

The place of arbitration shall be Colombo, Sri Lanka, in either person or through a video conferencing system. The language of the arbitration shall be English.

9.4 Jurisdiction.

The Parties irrevocably agree that the courts of Sri Lanka have exclusive jurisdiction to settle any dispute or claim that arises out of or in connection with this MOU, subject to the arbitration provisions above.

10. GENERAL PROVISIONS

10.1 Entire Agreement.

This MOU contains the entire understanding between the Parties with respect to the subject matter hereof and supersedes all prior agreements, understandings, negotiations, and discussions.

10.2 Amendment.

No amendment or modification of this MOU shall be valid unless made in writing and signed by both Parties.

10.3 Notices.

All notices shall be sent to the registered addresses of the respective Parties.

10.4 Witnesses.

The signatories of both Parties have affixed their signatures in the presence of one witness each, as denoted below.

11. SIGNATORIES

IN WITNESS WHEREOF, the Parties have executed this Memorandum of Understanding on the day and year first above written.

For and on behalf of
POLY PACKAGING SERVICES (PPS)
(First Party)

Authorized Signatory: _____

Name: Mr. Benny Jeyakumar

Title: Chief Executive Officer

Date: 01.July.2026

WITNESS FOR PPS:

Signature: _____

Name: Mr. Vijitha Ivor Fernando

Title: Digital Transformation and ERP Systems Consultant

Date: 01.July.2026

For and on behalf of
ENG. M. A. ANOJ THILINA PERERA
(Second Party)

Authorized Signatory:: _____

Name: M. A. Anoj Thilina Perera

Title: Independent Software Vendor (ISV)

Date: 01.July.2026

WITNESS FOR Galaxy:

Signature: _____

Name: Mr. K. Shanith. A. J. Fernando

Title: ERP System Support Specialist

Date: 01.July.2026

Note: Both Parties shall attach certified copies of the Business Registration Certificate/National ID card to this signing page of the MOU.